Economics - K-12 Level Assessment 6 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. A minimum wage in the market for fast-food workers is likely to produce
   - (a) an increase in the demand for fast-food workers.
   - (b) a decrease in the supply of fast-food workers.
   - (c) a shortage of fast-food workers.
   - (d) a surplus of fast-food workers.
2. Which of the following is not a scarce economic resource?
   - (a) Labor
   - (b) Capital
   - (c) Human wants
   - (d) Land
3. Which of the following is correct about the demand for labor?
   - (a) The demand for labor is independent of the demand for other inputs or resources.
   - (b) The demand for labor is independent of the demand for the products produced by labor.
   - (c) The demand for labor is independent of the availability of other inputs or resources.
   - (d) The demand for labor is derived from the demand for the products produced by labor.
4. If interest rates rise relatively more in country A than in country B then the value of country A's currency will
   - (a) appreciate.
   - (b) depreciate.
   - (c) remain unchanged.
   - (d) change indeterminately.
5. The market demand curve for labor will shift to the right when
   - (a) the number of firms increases
   - (b) the price of output decreases
   - (c) the labor supply curve shifts to the right
   - (d) the labor supply curve shifts to the left

True / False (10 marks)

Answer True or False

6. True or False: The demand curve for a firm operating under perfect competition is a perfectly horizontal function.
7. True or False: Normal goods always have an elastic demand curve, meaning their demand is highly responsive to price changes.
8. True or False: Buying Treasury securities from commercial banks is an example of expansionary monetary policy by the Federal Reserve.
9. True or False: Increased consumer wealth and optimism result in a rise in the demand for loanable funds.
10. True or False: A monopoly typically results in more deadweight loss compared to a competitive market with the same costs.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how increasing taxes and raising the discount rate can work together to combat inflation. What are the potential benefits and challenges of this approach?
12. Discuss how Matt's constant increase in total utility from consuming bratwurst would shape his demand curve. What implications does this have for consumer behavior in economics?

End of Paper